IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No. 205

C.P.(CAA)/7/(AHM)2023
in
C.A.(CAA)/67/(AHM)2022

Order under Sections 230-232 of the Companies Act, 2013

IN THE MATTER OF:

HFW Textiles Private Limited **.....Applicants**
MBM Textiles Private Limited

Order delivered on ..03/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for the pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

C.P.(CAA)/7/(AHM)2023
in
C.A.(CAA)/67/(AHM)2022

[In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Amalgamation

of

HFW Textiles Private Limited
(Transferor Company)

with

MBM Textiles Private Limited
(Transferee Company)

And

Their respective Shareholders and Creditors

In the matter of:

HFW Textiles Private Limited
(CIN: U18109GJ2011PTC067274)

A Private Limited Company incorporated under the provisions of the Companies Act, 1956, having its registered office at E-18, Siddhi Vinayak Towers, Next to Kataria Arcade, Off. S.G. Highway, Makarba, Ahmedabad-380 0051

…. Petitioner Company / Transferor Company

With

MBM Textiles Private Limited
(CIN: U17299GJ2021PTC119871)

A Private Limited Company incorporated under the provisions of the Companies Act, 2013, having its registered office at E-24, Siddhi vinayak Towers, Next to Kataria Arcade, Off. S.G. Highway, Ahmedabad-380 051

…. Petitioner Company / Transferee Company

Order Pronounced on: 03.07.2023

Coram: Mr. Shammi Khan-Member (Judicial)
Mr. Kaushalendra Kumar Singh-Member(Technical)

Appearance:
Mr. Vinit Nagar, PCS, for the Applicant Companies.
Ms. Pankti Shah, Advocate on behalf of Ms. Maithili D. Mehta, Advocate for the Income Tax Department.

ORDER

1. The present joint Company Petition has been filed by the Petitioner Companies under Sections 230 and 232 and other relevant provisions of the Companies Act, 2013 and read with Companies (Compromise, Arrangements and Amalgamations) Rules, 2016, seeking approval of the Scheme of Amalgamation of M/s. HFW Textiles Private Limited (Transferor Company) with M/s. MBM Textiles Private Limited (Transferee Company) [Petitioner Companies] with effect from the Appointed Date, i.e. 01.04.2022, as mentioned in the Scheme.

2. An Affidavit has been sworn by Mr. Chandramouli Neelakantan Gopalan on behalf of the Petitioner Companies who is the authorized representative and one of the Directors of the Petitioner Companies. The said affidavit is annexed with the application. The above-named authorized representative for the Petitioner Companies has been authorized vide Board Resolution dated 17.08.2022 of the Petitioner Companies .

3. The Petitioner Companies had filed a joint Company Application before this Tribunal being CA (CAA) 67 of 2022; sought dispensation of the meetings of the Equity Shareholders and the Unsecured Creditors of the Transferor Company and Transferee Company. Since there were no Secured Creditors in the Transferor Company and the Transferee Company, it was submitted that no meetings of the Secured Creditors of the Transferor Company and Transferee Company was required.

4. This Tribunal had sought the clarification from both the applicant companies on 07.12.2022 and directed them to place on record the original copy of consent affidavits of all the Equity Shareholders and Unsecured Creditors and also directed them to produce the copy of the Board Resolutions / Authorization Letters in support of the authorization for filing the consent affidavits with respect to all the Equity Shareholders and Unsecured Creditors for Scheme approval, as it was found that the consent affidavit annexed to the application are the photocopies and not the original affidavits. On 03.01.2023, the Applicant Companies had furnished along with the clarificatory affidavit the original copy of the consent affidavits received from all its Equity Shareholders and Unsecured Creditors together with the copy of the Board Resolutions / Authorization

Letters in support of the authorization for filing the consent affidavits, which was taken on records.

5. By the order dated 24.01.2023, passed in CA (CAA) 67 of 2022, the Meetings of the Shareholders and the Unsecured Creditors of both the Transferor and Transferee Company has been dispensed with and this Tribunal had directed the Applicant Companies to serve Notice of the Scheme in compliance with Section 230(5) of the Companies Act, 2013 in Form No. CAA.3 along with copy of the Scheme of Amalgamation to: (i) the Central Government through the Regional Director, North Western Region; (ii) the Reserve Bank of India (RBI) (iii) the Registrar of Companies, Gujarat; (iv) Income Tax Authorities concerned; (v) Official Liquidator (in case of Transferor Company); stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, and in case of no representation is received by this Tribunal within the stipulated period of 30 days, it should be presumed that the authorities have no representation to make. In compliance with the order dated 24.01.2023, the Petitioner Companies have served notices to the (i) the Central the Central Government through the Regional Director, North Western Region, the Reserve Bank of India (RBI), the Registrar of Companies, Gujarat, Income Tax Authorities concerned and the Official Liquidator (in case of Transferor Company) and in this regard, the Petitioner Companies have filed their compliance affidavit dated 10.02.2023.

6. The Petitioner Companies have jointly filed the present Company Petition being CP (CAA) 7 of 2023 before this Tribunal seeking sanction of the Scheme.

7. This Tribunal by order dated 27.02.2023, admitted the petition and directed for publication of hearing in English daily, "Financial Express", Ahmedabad edition and Gujarati translation thereof in "Financial Express" Ahmedabad edition not less than ten days before the date fixed for hearing, calling for objections, if any, on or before the next date of hearing. This Tribunal also directed to issue a notice of hearing of the petition to (i) the Central Government through the Regional Director, North-Western Region, (ii) the Registrar of Companies, Gujarat and the Income Tax Authority.

8. Pursuant to the order dated 27.02.2023 passed by this Tribunal, the Petitioner Companies have published the notice of hearing of the Company Petition in English daily " Financial Express" Ahmedabad edition and Gujarati translation thereof in "Financial Express", Ahmedabad edition on 25.03.2023. The affidavit of service, on behalf of the Petitioner Companies, dated 30.03.2023 has been filed on 31.03.2023 confirming the publication of the notice in the newspapers as directed and also the notice of hearing of the petition been served upon all the concerned statutory authorities.

9. In response to the notice served upon the Regional Director (RD), a Representation was filed by the RD, North-Western Region, dated 24.03.2023 along with the report from the Registrar of Companies (RoC). Their observations are as follows:-

i) To direct the Petitioner Companies to undertake the compliance of Section 232(3)(i) of the Companies Act, 2013 and to pay fees, accordingly.

ii) To direct the both the Petitioner Companies to ensure about the compliances of FEMA and RBI guidelines, in the matter, from time to time.

iii) The petitioner companies to pay legal fees/expenses to the Central Government for submitting this report.

iv) Necessary Stamp Duty on transfer of property / Assets, if any, to be paid to the respective Authorities before implementation of the Scheme.

10. In response to the notice to the Official Liquidator (OL), the OL has submitted his report dated 06.03.2023 with respect to the Transferor Company. The OL has observed the following:-

i) That, on perusal of the reply dated 13.02.2023 submitted by the Transferor Company and information available on the MCA portal, the Transferor Company has Annual Audited Accounts (Balance Sheet) upto the year ending as on 31.03.2022. Further, it is stated in the reply dated 13.02.2023 that there are no qualifications, reservations or adverse remarks in the auditor's report for financial years ending March 31, 2020, March 31, 2021 and March 31, 2022. On perusal of the Balance Sheet for the year ending as on 31.03.2022, an amount of Rs. 23,62,37,000/- is lying under the head Reserve and Surplus.

Therefore, this Tribunal may be pleased to direct the petitioner Transferor Company to place on record the status of amount lying under the Head Reserve & Surplus upon Scheme of Amalgamation coming into force.

ii) To comply with all applicable provisions of FEMA and / or RBI, issued by the Government of India from time to time.

iii) To preserve its books of accounts, papers and records and not to dispose of the same without prior permission of the Central Government as per the provisions of Section 239 of the Companies Act, 2013.

iv) To ensure Statutory compliance of all applicable laws and also on sanctioning of the present Scheme, the Transferor Company shall not be absolved from any of its statutory liabilities, in any manner.

v) The Transferor Company may be dissolved without following the process of winding-up in terms of sub-section 3(d) of Section 232 of the Companies Act, 2013. Further the Transferor Company being dissolved, the fee, if any, paid by the Transferor Company on its Authorized Share Capital shall be set-off against any fees payable by the Transferee Company on its Authorized Capital subsequent to the amalgamation in terms of sub section 3(i) of Section 232 of Companies Act, 2013.

vi) To pay such cost and expenses to the office of the official liquidator for the Transferor Company or any such amount as may be considered appropriate by this Bench.

vii) To lodge a certified copy of order along with the Scheme, with the concerned superintendent of stamp duty for determination of stamp duty payable, if any.

11. The Petitioner Companies have filed the Compliance affidavit cum Affidavit of undertaking in reply dated 30.03.2023 to the representation of the aforesaid Regulatory Authorities. It has been submitted in response to the observations of the Regional Director and the Official Liquidator (OL),as follows:-

i) That, the Transferee Company shall undertakes to comply with the provisions of Sec. 232 (3) (i) of the Companies Act, 2013 and shall make the payment of the differential amount of regd. fee and stamp duty, if payable upon enhanced authorised share capital upon the approval of the scheme of amalgamation by this Tribunal.

ii) The Transferee Company shall comply with all the applicable provisions of the FEMA/ FDI norms and guidelines taking this fact into consideration that the Petitioner Transferor Company has accepted Foreign Director Investments and the fact of the same is also provided in the Petition.

iii) The Transferee Company shall account for and record all assets and liabilities recorded in the books of accounts of the Transferor Company which are transferred to and vested in the Transferee Company pursuant to this scheme at

their book values as on the appointed date and accounting of amalgamation shall be carried out and recorded in the books of the Transferee Company in accordance with the pooling of interest method as prescribed under the accounting standard (14) issued by the ICAI and pursuant to Sec. 133 of the Companies Act, 2013.

12. Considering the above compliance affidavit and undertaking in reply filed by the Petitioner Companies dated 30.03.2023, the observations made by the Regional Director in its representation dated 24.03.2023 and the representation of Official Liquidator dated 06.03.2023 stands satisfied.

13. In response to the notice of hearing served to the Income Tax Authority, the Income Tax Officer, Circle 3(1)(1), Ahmedabad, has given its no objection (in respect of the Transferee Company), through its Ld. Counsel, to the proposed Scheme vide letter dated 22.02.2023. The Income Tax Officer, Ward-2(1)(1), Ahmedabad, has sent a letter dated 22.02.2023 through its Counsel, stating that no proceedings is pending against the Transferor Company.

14. It has been submitted by the Ld. Counsel appearing for the Petitioner Companies that the Scheme is not against the public policy. It has also been stated that it does not adversely impact any Unsecured Creditors of the Petitioner Companies. It has also been submitted that all statutory obligations under all applicable laws shall be complied with.

15. The petitioner companies have placed on record a copy of the Valuation Report dated 08.08.2022 issued by Mr. Suman Kumar Verma (IBBI/RV/05/2019/12376), Registered Valuer.

16. The Petitioner Companies have stated in the Petition that no inspection or investigation has been instituted or is pending against any of the petitioner companies under the provisions of the Companies Act, 2013. It was also stated that if there is any deficiency found, or violation committed of any enactment, statutory rules or regulations, the sanction granted by the Tribunal to the scheme will not come in the way of action being taken in accordance with law, against the concerned persons, directors and officials of the petitioner companies.

17. In compliance with the proviso to clause (e) of sub-section (7) of Section 230 of the Companies Act, 2013, certificate from the 05.11.2022, is placed on record confirming that the accounting treatment as proposed under the Scheme is in conformity with the applicable Accounting Standards prescribed under section 133 of the Companies Act, 2013.

18. On the basis of above the facts and submissions made by the Learned PCS and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, it appears that the requirements of the provisions of section 230 and 232 are satisfied by the petitioner companies. We are of the considered view that the proposed Scheme of Amalgamation is bona fide and in the interest of the shareholders and creditors. In the result, Company Petition No. CP (CAA) No. 7 of 2023 is allowed. The Scheme envisages Amalgamation of M/s. HFW Textiles Private

Limited (Transferor Company) with M/s. MBM Textiles Private Limited (Transferee Company). It is declared that the said sanctioned scheme shall be binding on the petitioner companies and their shareholders, creditors and all concerned under the scheme.

19. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

20. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

21. This Tribunal orders as under:-

(i) The Scheme of Arrangement as annexed herewith as "Annexure A" is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

(ii) It is declared that the Transferor Company shall be dissolved without winding up.

(iii) All the property annexed herewith as "Annexure B", right and powers of the Transferor Company specified in the schedule hereto and all the other property, rights and powers of the

Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vested in the Transferee Company for all the estates and interest of the Transferor Company therein.

(iv) Upon coming into effect of this Scheme, and in consideration for the transfer of and vesting of the properties, assets, liabilities and Undertaking of the Transferor Company in the Transferee Company in terms of this Scheme,

The Transferee Company shall without any further act or deed, issue and allot in total 9 (Nine) Equity Shares of Rs.10 (Rupees Ten Only) each for every 5 (Five) Equity Shares of Rs.10/- (Rupees Ten Only) each held in Transferor Company.

(v) All the liabilities and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, and become the liabilities and duties of the Transferee Company.

(vi) All proceedings, if any, now pending against the Transferor Company be continued by or against the Transferee Company.

(vii) The Petitioner Companies within thirty days of the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the entire Undertaking of the Transferor Company shall stand transferred to the Transferee Company and the Registrar of Companies shall place all documents relating to the Transferor Company to the file kept by him in relation to the

Transferee Company and the files relating to the said companies shall be treated accordingly.

(viii) Upon Scheme being effective, the Authorised Capital of the Transferor Company shall be consolidated with the Authorised Capital of the Transferee Company.

(ix) All concerned Authorities to act on copy of this order along with the Scheme authenticated by the Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme.

(x) The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets attached as Annexure-B with this order, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

(xi) The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with the concerned the Registrar of Companies, electronically, along with e-form INC-28 in addition to physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

(xii) The legal fees and expenses of the office of the Regional Director are quantified at Rs.10,000/-each in respect of all the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee Company.

(xiii) The legal fees and expenses of the office of the Official

Liquidator are quantified at Rs.10,000/- in respect of the Transferor Company. The said fees of the Official Liquidator shall be paid by the Transferee Company.

(xiv) Filing and issuance of drawn up orders are dispensed with. All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the authenticated copy of this order alongwith Scheme immediately.

(xv) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

22. The Company Petition CP (CAA) No. 7 of 2023 connected with CA (CAA) No. 67 of 2022 is disposed of.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

Sudha-Steno

~~Annexure E~~ Annexure "A"
~~Annexure 21~~ 350

SCHEME OF AMALGAMATION

OF

HFW TEXTILES PRIVATE LIMITED

CIN: U18109GJ2011PTC067274

(TRANSFEROR COMPANY)

WITH

MBM TEXTILES PRIVATE LIMITED

CIN: U17299GJ2021PTC119871

(TRANSFEE COMPANY)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

(Under the provisions of section 230-232 and other applicable provisions of the Companies Act, 2013)

FOR, HFW TEXTILES PVT LTD
DIRECTOR

FOR HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

54

PARTS OF THE SCHEME

The Scheme is divided in the following parts:

1) Part I deals with the Preamble and Rationale.

2) Part II deals with the Definitions, Interpretations and Capital Structure,

3) Part III deals with the Transfer and Vesting.

4) Part IV deals with the general terms and conditions.

PART I – PREAMBLE AND RATIONALE

1. PREAMBLE

1.1. This Scheme of Amalgamation ("the Scheme") is presented and formulated under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (including any statutory modification or re-enactment thereof, for the time being in force) for the amalgamation of HFW Textiles Private Limited into MBM Textiles Private Limited.

1.2. HFW Textiles Private Limited (hereinafter referred to as "HFW" or "Transferor Company") was incorporated as a Private limited company on the September 27, 2011 under the Companies Act, 1956. The Corporate Identity Number of the Transferor Company is U18109GJ2011PTC067274. The Registered office of the Transferor Company is E-18, Siddhi Vinayak Towers, Next to Kataria Arcade, Off S.G. Highway, Makarba, Ahmedabad, Gujarat-380051. The Transferor Company is engaged in the business of spinning, knitting, winding, combing, realing, washing, colouring, dyeing, bleaching, finishing, calendering, manufacturing and to act as representatives, consignors, consignees, exporters, importers, factors, trader, dealer, processors, agents, packers, distributors, stockiest and suppliers of all classes, kinds, types and description of garments for ladies, gents and children including shirts, busshirts, blouses, shirt blouses, ties, cravats, collars, scarves, scarfs, hats, caps, wheatears, cardigans, boilders, suits, swim wears, bath robes, gowns, jackets, trousers, slacks, pyjamas, night dresses, underwears, watches, socks, handkerchiefs, hand

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

gloves, khamis, Ladies nigty, Frock servals made of whatever substances such as cotton silk, art silk, nylon, rayon, man made synthetics, wool, jute, canvass, plastic and other fabrics and mixtures of any of above and to do processing of cotton, wool, woolen, linen, casmere, mohair, angora, vicuna, silk, art silk, flax, hemp, jute, gunny, polyester, polynosic or any other manmade fibre material, yarn or filament, synthetics or any kind of yarn, flatyarn, tarpoulin, texturised yarn and yarn of any other varieties and of any other fibrous substance fabrics or any kinds of natural and artificial material used for above process. (Hereinafter referred to as the "Transferor Company").

1.3. MBM Textiles Private Limited (hereinafter referred to as "MBM" or "Transferee Company") was incorporated as a Private limited company on the February 1, 2021 under the Companies Act, 2013. The Corporate Identity Number of the Transferee Company is U17299GJ2021PTC119871. The Registered office of the Transferee Company is E-24, Siddhi Vinayak Towers, Next to Kataria Arcade, Off S.G Highway, Ahmedabad, Gujarat-380051. The Transferee Company is engaged into the business of manufacturing, processing, spinning, knitting, winding, combing, realing, washing, coloring, dyeing, bleaching, finishing, calendering, importing, exporting and to act as representatives, consignors, consignees, exporters, importers, factors, trader, dealer, processors, agents, packers, distributors, stockiest and suppliers of all classes, kinds, types and description of cloth, knitted cloth, woolen fabrics, synthetic fabrics, cotton fabrics, worsted and shoddy fabrics made of whatever substances such as cotton silk, art silk, nylon, rayon, man-made synthetics, wool, jute, canvass, plastic, bamboo and other fabrics and mixtures of any of above and to do processing of cotton, wool, woolen, linen, casmere, mohair, angora, vicuna, silk, art silk, flax, hemp, jute, gunny, polyester, polynosic or any other manmade fiber material, yarn or filament, synthetics or any kind of yarn, flatyarn, tarpaulin, texturized yarn and yarn of any other varieties and of any other fibrous substance fabrics or any kinds of natural and artificial material used for above processes. (Hereinafter referred to as the "Transferee Company").

2. RATIONALE FOR THE SCHEME

FOR, HFW TEXTILES PVT LTD

DIRECTOR

MBM TEXTILES PRIVATE LIMITED

DIRECTOR

52

2.1. The Board of Directors of the Transferor Company and the Transferee Company have decided to amalgamate the Companies in order to achieve a simplified business structure. The Board of Directors of the Transferor Company and the Transferee Company are of the opinion that the proposed amalgamation of the Transferor Company with the Transferee Company will be for the benefit of the Transferor Company and the Transferee Company in the following manner

2.1.1 Facilitate consolidation of the undertakings in order to enable effective management and unified control of operations considering the similar line of business operations of both the companies.

2.1.2 Create economies in administrative and managerial costs by consolidating operations,

2.1.3 The amalgamation of the companies would broaden the capital base of the resultant unit which can expand and strengthen its business operation keeping in mind the changed economic and business conditions and opportunities in India.

2.1.4 Reduce duplication of administrative responsibilities and multiplicity of records and legal and several regulatory compliances., and

2.1.5 There is no likelihood that interests of any shareholder or creditor of any of the Transferor Company or the Transferee Company would be prejudiced as a result of the Scheme.

2.2 The Amalgamation of the Transferor Company with the Transferee Company is made pursuant this Scheme and the same shall take place with effect from the Appointed Date and it shall be taken place in accordance with the provision of Sec. 2 (1B) of the Income Tax Act, 1961.

PART II –DEFINITIONS, INTERPRETATIONS AND CAPITAL STRUCTURE

FOR, HFW TEXTILES PVT LTD

DIRECTOR

3. DEFINITIONS

FOR, HFW TEXTILES PVT LTD

DIRECTOR

MBM TEXTILES PRIVATE LIMITED

DIRECTOR

In this Scheme, unless inconsistent with the subject, context, meaning or otherwise thereof, the following words and expressions shall have the meanings as provided herein:

3.1 **"Act"** shall mean the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and shall include any statutory modifications, re-enactments or amendments thereof including any rules and regulations framed there under from time to time.

3.2 **"Appointed Date"** shall mean April 1, 2022 or such other date as may be approved by National Company Law Tribunal ("NCLT"), subject to the provisions of the Section 232(6) of the Companies Act, 2013.

3.3 **"Board"** or **"Board of Directors"** shall mean the Board of Directors of the Transferor Company and/ or Transferee Company, as the case may be, and shall, unless it is repugnant to the context or otherwise, include any committee of the Directors or any person authorized by the Board of Directors.

3.4 **"Government Authority "**means any applicable Central, State or Local Government, Legislative body, regulatory or administrative authority, Registrar of Companies, Official Liquidator, agency or commission or any court, tribunal, board, bureau or instrumentality thereof or arbitrator or arbitral body having jurisdiction

3.5 **"Employee"** shall include any and all the Employees, Staff Members, workmen and Officers of the Company who has been employed by the Transferor Company and the Transferee Company.

3.6 **"Effective Date"** shall mean the date on which the copies of the order(s) confirming this Scheme of Amalgamation as passed by the Competent Authority, are filed with the Registrar of Companies, Gujarat. This Scheme of Amalgamation shall be effective from the Appointed Date.

FOR, HFW TEXTILES PVT LTD

FOR HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED

MBM TEXTILES PRIVATE LIMITED DIRECTOR

DIRECTOR

3.7 **"National Company Law Tribunal" or "Tribunal"** shall mean the National Company Law Tribunal, having its Bench at Ahmedabad having jurisdiction in relation to the Transferor Company and the Transferee Company.

3.8 **"New Shares"** shall mean Equity Shares of Rs.10/- each of the Transferee Company to be issued to the Shareholders of the Transferor Company in pursuance of the Scheme.

3.9 **"Regional Director"** shall mean Regional Director, North Western Region, Gujarat having jurisdiction in relation to the Transferor Company and the Transferee Company.

3.10 **"ROC"** shall mean Registrar of Companies, Gujarat having jurisdiction in relation to the Transferor Company and the Transferee Company.

3.11 **"Scheme of Amalgamation"** or **"Scheme"** or **"the Scheme"** or **"this Scheme** "shall mean this Scheme of Amalgamation in its present form or with such modifications, alterations or amendments as per Clause 22 of the Scheme or as may be made from time to time with the requisite approvals and sanctions of the Competent Authority, as may be required under the Act or any other applicable laws or direction of the Competent Authority.

3.12 **"The Transferee Company", OR "MBM"** shall mean **MBM TEXTILES PRIVATE LIMITED**, a Company Incorporated on February 1, 2021 under the provisions of the Companies Act, 2013 having its CIN - U17299GJ2021PTC119871 and its Registered office at E-24, Siddhi Vinayak Towers, Next to Kataria Arcade, Off S.G Highway, Ahmedabad, Gujarat-380051.

3.13 **"The Transferor Company", OR "HFW"** shall mean **HFW TEXTILES PRIVATE LIMITED**, a Company Incorporated on September 27, 2011 under the Companies Act, 1956 and validly existing under the provisions of the Companies Act, 2013 and having its CIN - U18109GJ2011PTC067274 and Registered office at E-18, Siddhi Vinayak Nxt to Kataria Arcade, Off S.G. Highway, Makarba, Ahmedabad, Gujarat-380051.

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

3.14 **"Undertaking"** shall mean and include:

a) All kind of assets including movable, immovable, tangible, intangible, fixed, current or any other nature of assets of the Transferor Company as on the Appointed Date; (hereinafter referred to as "the said assets")

b) All kind of debts, liabilities, duties, any nature of obligations, payables, outstanding, and contingent liabilities of the Transferor Company as on the Appointed Date; (hereinafter referred to as "the said liabilities")

c) Without prejudice to the generality of sub-clauses (a) and (b) above, the Undertaking shall mean and include the whole of the undertaking of the Transferor Company on a going concern basis together with its all kind of businesses, land, building, movable or current assets, trade assets and entitlements, approvals, consents, registrations, liabilities of any nature and shall also include, its business, corporate affairs, all kind of assets including virtual assets (freely occupied or paid versions), web spaces, allied assets & online login(s), all secured and unsecured debts, liabilities, duties, payables, contingent or any other nature of obligations, all the assets and properties, whether movable or immovable, real or personal, fixed assets, in possession or reversion, corporeal or incorporeal, tangible or intangible, intellectual including Trade Marks & Copy Rights, present, future or contingent assets including stock, advances, properties or rights of any nature, land and it's attachments, investments, claims, powers, advances, authorities, allotments, approvals, registrations, holdings, contracts, engagements, arrangements, rights, titles, interests, benefits, advantages, lease-hold rights, tenancy rights, permits, authorizations, order of special value branch (SVB) of custom, quota rights, including reserves, provisions, funds, equipment's, entitlements, privileges or benefits of any nature installations and utilities, electricity, water and other service connections, records, files, employees, benefits of agreements, contracts and arrangements, powers, balances with all regulatory authorities including GST Credits on any left on effective date, investments of any nature, liberties,

FOR, HFW TEXTILES PVT LTD
DIRECTOR

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

advantages, easements and any nature of rights, titles, interests, goodwill, benefits and advantages, deposits, reserves, provisions, advances, receivables, funds, cash, bank balances, accounts and all other rights, benefits and interest of all agreements, subsidies, grants, incentives, tax credits (of any nature including but not limited to MAT paid under Section 115JA/115JB of the Income-tax Act, 1961 and the right to claim credit therefore in accordance with the provisions of Section 115JAA of the Income-tax Act, 1961, right to claim credit in respect of all advance taxes, tax deducted at source, tax collected at source, benefits of carried forward business losses or unabsorbed depreciation or tax exemptions under the Income Tax Act, 1961, all other rights including sales tax deferrals and exemptions and other benefits.), and all other entitlements, interest, benefits, claims and privileges, of whatsoever in nature and wherever situated belonging to or in the possession of or granted in favour of or enjoyed by the Transferor Company, as on the Appointed Date and all earnest money and/or deposits including loans and advances, security deposits paid by the Transferor Company as on the Appointed Date and all other rights, obligations, benefits, entitlements or privileges of any kind available under any rules, regulations, statutes including direct and indirect tax laws derived by the Transferor Company from time to time.

4. INTERPRETATIONS

4.1 All terms and words used but not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning as prescribed under the Act, Income-tax Act, 1961 or under any other applicable laws, rules, regulations and byelaws as the case may be, including any statutory modifications or re-enactment thereof from time to time.

4.2 References to clauses, recitals and schedules, unless otherwise provided, are to clauses, recitals and schedules of and to this Scheme.

4.3 The headings herein shall not affect the construction or interpretation of this Scheme or its parts of clauses.

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

4.4 The singular shall include the plural and vice versa; and references to one gender include all genders.

4.5 Any phrase introduced by the terms "including", "include", "in particular" or any similar expression shall be construed as illustrative and shall not limit the sense of the words preceding those terms.

4.6 References to person include any individual, firm, Hindu Undivided Family (HUF), body corporate (whether incorporated or not), Limited Liability Partnerships (LLPs), Government, state or agency of a state or any joint venture, association, partnership, works council or any other nature of entity (whether or not having separate legal personality).

5. SHARE CAPITAL

5.1 The Authorised, Issued, Subscribed and Paid-up Share Capital of the Transferor Company as on March 31, 2022.

Capital Structure of the Transferor Company	
Particulars	**Amount in (Rs.)**
Authorised Share Capital	
50,000 Equity Shares of Rs. 10/- each.	5,00,000
Preference shares	0
Total	**5,00,000**
Issued, Subscribed and Paid-up Capital	
10,000 Equity Shares of Rs. 10/- each	1,00,000
Preference shares	0
Total	**1,00,000**

There is no change in the capital structure of the Company after March 31, 2022.

5.2 The Authorized, Issued, Subscribed and Paid-up capital of the Transferee Company as on March 31, 2022 was as follows:

Capital Structure of the Transferee Company	
Particulars	**Amount in (Rs.)**

FOR, HFW TEXTILES PVT.LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

Authorised Share Capital	
5,00,000 Equity Shares of Rs. 10/- each.	50,00,000
Preference shares	0
Total	**50,00,000**
Issued, Subscribed and Paid-up Capital	
1,00,000 Equity Shares of Rs. 10/- each	10,00,000
Preference shares	0
Total	**10,00,000**

There is no change in the capital structure of the Company after March 31, 2022.

6. DATE OF TAKING EFFECT

The Scheme set out herein in its present form or with any modification(s) or amendment(s) approved, imposed, suggested or directed by the Registrar of Companies, Central Government, Competent Authority or Official Liquidator shall be effective from the Appointed Date as mentioned in the Clause 3.2 of the Scheme.

PART III – TRANSFER AND VESTING OF UNDERTAKING OF THE TRANSFEROR COMPANY INTO THE TRANSFEREE COMPANY

7. TRANSFER AND VESTING OF UNDERTAKING

7.1 Upon coming into effect of the Scheme and with effect from the Appointed Date and subject to the provisions of this Scheme, the whole of the Undertaking of the Transferor Company including but not limited to all and any nature of assets, debts, liabilities, duties, benefits, entitlements, approvals, consents, businesses, and obligations of the Transferor Company of every and all description as the case may be shall without any further act or deed, be transferred and/or deemed to be transferred to and vested in the Transferee Company on a going concern basis so as to become the assets, properties, entitlements, obligations or liabilities of the Transferee Company.

MBM TEXTILES PRIVATE LIMITED

7.2 All the movable assets of the Transferor Company and the assets which are otherwise capable of being transferred by physical delivery or endorsement and delivery, investments, cash on hand, receivables, stock, inventory, bank balances,

FOR, HFW TEXTILES PVT.LTD
DIRECTOR

FOR, HFW TEXTILES PVT.LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

current assets of any nature, loans and advances, and any other business assets shall be so transferred and vested to the Transferee Company and deemed to have been physically handed over by physical delivery or by endorsement and delivery, as the case may be, without the need to execute any separate instrument, or document with the Transferee Company to the end and intent that the properties and benefits therein pass to the Transferee Company with effect from the Appointed Date without any further acts, deeds, actions or executions.

7.3 Such delivery and transfer shall be made with effect from Appointed Date between the Transferor Company and the Transferee Company.

7.4 In respect of any assets of the Transferor Company other than those mentioned in sub clause 7.2 above, including but not limited to actionable claims, sundry debtors, outstanding loans, income tax refunds, tax credits including GST Credits, if any left on effective date, balances with any government authorities or any other person or entities, insurances, advances recoverable in cash or kind or for value to be received, deposits of any nature with the Government, Semi-Government, Local and other authorities, bodies or any other person or entity, entitlements, Trade Marks, Copy Rights, permissions, plans, privileges, benefits, exemptions, earnest money, or any other business assets of, the Transferor Company , the Transferee Company shall if so required may, issue notices in such form as may be required or deem fit and proper stating that pursuant to the Competent Authority having sanctioned this Scheme between the Transferor Company and the Transferee Company, the relevant assets, be the property of the Transferee Company and accordingly shall be paid or made good or held or transferred on account of the Transferee Company, as the person entitled thereto, to the end and intent that the right of the Transferor Company to recover or realise the same stands duly transferred and conveyed to the Transferee Company and that appropriate entries should be passed in their respective books of accounts to record the aforesaid transfers.

7.5 The transfer of assets and liabilities pursuant to the scheme and the continuance of all suits, legal or otherwise proceedings by the Transferee Company pursuant to Clause 7.2 shall be deemed to have been transaction or proceedings already concluded by the

FOR, HEW TEXTILES PVT.LTD. DIRECTOR
MBM TEXTILES PRIVATE LIMITED DIRECTOR

Transferor Company on or before the Appointed Date or after the Appointed Date till the Effective Date to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by the Transferor Company in regard thereto, as if done and executed by the Transferee Company on behalf of itself.

7.6 With effect from the Appointed Date, all and any nature of debts, liabilities, including contingent liabilities including Provisional Duty (PD) Bonds, duties and obligations of the Transferor Company, as on the Appointed Date whether provided for or not in the books of accounts of the Transferor Company respectively, and all other liabilities which may accrue or arise after the Appointed Date but which relate to the period on or up-to the day of the Appointed Date shall, pursuant to the Order of the Competent Authority and other applicable provisions of the Act, without any further act or deed, be transferred or deemed to be transferred to and vested in the Transferee Company, so as to become as from the Appointed Date the debts, liabilities, contingent liabilities, duties and obligations of the Transferee Company on the same terms and conditions as were applicable to the Transferor Company.

7.7 Without prejudice to the above provisions, with effect from the Appointed Date, all inter-party transactions including investments, loans and advances, receivable or payable of any nature deposits, if any, between the Transferor Company and the Transferee Company shall be considered as intra-party transactions for all purposes from the Appointed Date and accordingly squared off in the books of accounts of the Transferee company.

8 CANCELLATION OF SHARES

8.1 Upon coming into effect of the Scheme, and in consideration for the transfer of and vesting of the properties, assets, liabilities and Undertaking of the Transferor Company in the Transferee Company in terms of this Scheme,

FOR, HFW TEXTILES PVT.LTD
DIRECTOR

FOR, HFW TEXTILES PVT.LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

The Transferee Company shall without any further act or deed, issue and allot in total 9 (Nine) Equity Shares of Rs.10 (Rupees Ten Only) each for every 5 (Five) Equity Share of Rs. 10/- (Rupees Ten Only) each held in Transferor Company.

8.2 The Shares held by the Transferor Company in the Transferee Company or vice a versa as the case may be shall stand cancelled without any further action or obligation to issue thereof;

8.3 Any fraction arising out of allotment as per Clause 8.1 ("New Shares") above shall be rounded off to the nearest integer.

8.4 The New Shares issued and allotted pursuant to Clause 8.1, if any, shall in all respects, be subject to the Memorandum and Articles of Association of the Transferee Company shall rank Pari Passu with the existing equity shares of the Transferee Company.

8.5 The Transferee Company shall, if and to the extent required, apply for and obtain any approvals from the relevant authorities for the issue and allotment of the New Shares to the Shareholders of the Transferor Company pursuant to the Scheme.

8.6 The Shareholders of the Transferor Company, to whom the New Shares are to be issued by the Transferee Company pursuant to Clause 8.1 above, shall be issued in physical form.

8.7 The Authorised Share Capital of the Transferor Company shall stand transferred and merged with that of the Transferee Company without any further act or deeds or payment of any fee or stamp duty as mentioned in Clause 15.1.

8.8 The Transferee Company shall, if and to the extent so required after factoring enlarged Authorised Share Capital after considering transfer and merger of the Authorised Share Capital of the Transferor Company as mentioned in Clause 15.1, increase its Authorized share capital to facilitate issue of the New Shares under this Scheme by paying the necessary fees/stamp duty on the increase Authorized Share Capital of the Transferee Company.

FOR, HFW TEXTILES PVT.LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

8.9 The issue and allotment of the New Shares in the Transferee Company to the Shareholders of the Transferor Company as provided in the Scheme, shall be deemed to have been carried out in terms of compliance with the procedures laid down under the act and any other applicable provisions or any amendments thereto.

9 ACCOUNTING TREATMENT IN THE BOOKS OF THE TRANSFEREE COMPANY

9.1 The Transferee Company shall account for and record all assets and liabilities recorded in the Books of Accounts of the Transferor Company, which are transferred to and vested in the Transferee Company pursuant to the Scheme at their book values as on the Appointed Date.

9.2 In case of any surplus arising as a result of the difference, if any, of the value of the assets over the value of the liabilities of the Transferor Company, in accordance with this Scheme, the same shall be credited to the Capital Reserve Account of the Transferee Company and in the event of deficit, if any, the same shall be debited to the Goodwill Account of the Transferee Company.

9.3 In case of any differences in the accounting policies between the Transferor Company and the Transferee Company, the impact of the same till the Appointed Date of amalgamation will be quantified and adjusted in the Free / General Reserves of the Transferee Company to ensure that the financial statements of the Transferee Company reflect the financial position on the basis of consistent accounting policies.

9.4 To the extent there are inter-corporate investments, loans or advances, deposits or balances of any nature between the Transferor Company and the Transferee Company or vice a versa, the obligations in respect thereof shall come to an end and corresponding effect shall be given in the books of accounts and records of the Transferee Company for the said adjustment, and there would be no accrual of interest or any other charges in respect of such inter-company loans, advances, deposits, investments or balances, with effect from the Appointed Date.

FOR, HFW TEXTILES PVT LTD
DIRECTOR

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

9.5 The accounting for amalgamation shall be carried out and recorded in the books of Transferee Company in accordance with the Pooling of Interest method as prescribed under the Accounting Standard 14 (AS14) issued by the ICAI.

10 COMPLIANCE WITH TAX LAWS

10.1 This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified in Section 2(1B) and other relevant provisions of the Income-tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said Section or other related provisions of the Income-tax Act, 1961 at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Scheme becomes effective, the provisions of the said section or other related provisions of the Income-tax Act, 1961 shall prevail and the Scheme shall stand modified to the extent required to comply with Section 2(1B) or other relevant provisions of the Income-tax Act, 1961.

10.2 Upon the Scheme becoming effective, the Transferor Company and the Transferee Company shall have the right to revise their respective financial statements and returns along with prescribed forms, filings and annexure under the Income-tax Act, 1961,Central Sales Tax Laws, applicable State Value Added Tax Laws, Service Tax Laws, Excise Duty Laws, Goods and Service Tax (GST) Laws and other tax laws, and to claim refunds and/or credit for taxes paid (including minimum alternate tax, tax deducted at source, wealth tax, GST credit etc.) and for matters incidental thereto, as may be required, to give effect to the provisions of the Scheme.

10.3 All tax assessment proceedings/ appeals, of whatsoever nature, by or against the Transferor Company pending and/or arising up-to the Appointed Date and relating to the Transferor Company shall be continued and/or enforced until the Effective Date by the Transferor Company. As and from the Effective Date, the tax proceedings shall be continued and enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company.

FOR, HFW TEXTILES PVT LTD.
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

10.4 Further, any nature of tax proceedings or assessment shall not abate or be discontinued nor be in any manner prejudicially affected by reason of the amalgamation of the Transferor Company with the Transferee Company or anything contained in the Scheme.

10.5 Any tax liabilities under the Income-tax Act, 1961, Service Tax Laws, Excise Duty Laws, Central Sales Tax Laws, applicable State Value Added Tax Laws, Goods and Service Tax laws or other applicable laws/regulations dealing with taxes/ duties/ levies of the Transferor Company or its undertaking to the extent not provided for or covered by tax provision in the accounts made up-to the date immediately preceding the Appointed Date shall be transferred to the Transferee Company.

10.6 Any refund, rebate, entitlements, credits, advance tax payments, deposits or benefits of any nature as available under the Income-tax Act, 1961, service tax laws, excise duty laws, central sales tax, applicable state value added tax laws Goods and Service Tax laws or other applicable laws/ regulations dealing with taxes/ duties/ levies of any nature due to the Transferor Company consequent to the assessment or proceedings or otherwise made on Transferor Company (including any such amount for which no credit is taken in the accounts of the Transferor Company) for the period up-to The Appointed Date shall also belong to and be received by the Transferee Company, upon this Scheme becoming effective.

10.7 The tax payments (including, without limitation, income tax, service tax, excise duty, central sales tax, applicable state value added tax, etc.) whether by way of tax deducted at source, advance tax or otherwise howsoever, by the Transferor Company after the Appointed Date, shall be deemed to be paid by the Transferee Company and shall, in all proceedings, be dealt with accordingly.

10.8 Upon the Scheme coming into effect, any obligation for deduction of tax at source on any payment made by or to be made by the Transferor Company shall be deemed to have been made and duly complied with by the Transferee Company.

FOR, HFW TEXTILES PVT.LTD

DIRECTOR

FOR, HFW TEXTILES PVT.LTD

DIRECTOR

MBM TEXTILES PRIVATE LIMITED

DIRECTOR

DIRECTOR

10.9 Without prejudice to the generality of the above, all benefits, incentives, refunds, losses (if any), book unabsorbed depreciation, tax unabsorbed depreciation or business losses or capital losses, credits, advance taxes, exemptions (including, without limitation, income tax, minimum alternate tax, tax deducted at source, wealth tax, service tax, excise duty, central sales tax, applicable state value added tax, customs duty drawback, goods and service tax etc.) to which the Transferor Company are entitled to in terms of applicable laws, shall be available to and vest in the Transferee Company, upon this Scheme coming into effect.

10.10 Upon the coming into effect of this scheme, all tax compliances under any tax laws by the Transferor Company on or after Appointed Date shall be deemed to be made by the Transferee Company.

11 CONTRACTS, DEEDS, BONDS & OTHER INSTRUMENTS

Subject to other provisions of this Scheme, all contracts including online contracts, deeds, bonds, confirmations, incentives, privileges, benefits, entitlements, agreements including Royalty Agreements, lease agreements/Rent Agreements,, leave and license agreements, licenses, engagements, certificates including Trade Mark and Copy Right Certificates, permissions, consents, approvals, concessions, arrangements, understandings, commercial or other such rights, accreditations, and incentives (including but not limited to the available benefits under the Income-tax Act, 1961, service tax laws, excise duty laws, central sales tax, applicable state value added tax laws, Goods and Service Tax laws and other exemptions or incentives), remissions, remedies, subsidies, guarantees and other instruments, if any, of whatsoever nature, be it online-form or offline-form/in physical document form, made with or without considerations, to which the Transferor Company are party and which have not been lapsed and are subsisting or having effect shall be in full force and effect transferred or vested against or in favour of the Transferee Company, and may on this Scheme becoming effective, be enforced or availed by or against the Transferee Company as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party thereto. The Transferee Company may thereupon/hereafter file and/or issue and/or execute deeds, writings or confirmations or

FOR, HEW TEXTILES PVT.LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

FOR, HEW TEXTILES PVT.LTD
DIRECTOR

enter into any tripartite arrangements, confirmations or novation, to which the Transferor Company will, if necessary, also be party in order to give formal effect to the provisions of this Scheme, if so required or if so, considered necessary. The Transferee Company shall be deemed to be authorised to execute any such deeds, writings or confirmations on behalf of the Transferor Company and also to implement or carry out all formalities required on the part of the Transferor Company to give effect to the provisions of this Scheme.

12 LEGAL PROCEEDINGS

12.1 As per the provisions of the Section 232 (3)(c) of the Companies Act, 2013, all legal proceedings (including criminal proceedings u/s 138 of NIA or be it Trade Mark oppositions) or litigation of whatsoever nature by or against the Transferor Company pending and/or arising up-to The Appointed Date shall be continued and/or enforced after the Effective Date by the Transferee Companies. In the event of the Transferor Company failing to continue or enforce any legal proceeding, the same may be continued or enforced by the Transferee Company, at its own cost. As and from the Effective Date, the legal proceedings or litigation of any nature shall be continued and enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company.

12.2 On and from the Effective Date any nature of legal proceedings or litigation by or against the Transferor Company shall not abate or be discontinued nor be in any manner prejudicially affected by reason of the amalgamation of the Transferor Company with the Transferee Company or anything contained in the Scheme. The Transferee Company shall become a party to such legal proceedings or litigation and the same shall be continued by or against the Transferee Company as it would have been otherwise continued by or against the Transferor Company.

12.3 On and from the Effective Date, the Transferee Company shall and may, if required, initiate any legal proceedings in relation to the Transferor Company in the same

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

manner and to the same extent as would or might have been initiated by the Transferor Company.

12.4 After the Appointed Date, if any proceedings are initiated against the Transferor Company, the same shall be defended by and at the cost of the Transferee Company.

13 CONDUCT OF BUSINESS UNTIL THE DATE OF FILLING OF CONFIRMATION ORDER WITH THE REGISTRAR

13.1 On and from the Appointed Date and up to and including the Effective Date:

13.2 The Transferor Company shall carry on and shall be deemed to have carried on all its business, corporate affairs and activities as hitherto and shall hold and stand possessed of and shall be deemed to have held and stood possessed of the properties, assets, liabilities and undertaking on account of, and for the benefit of and in trust for and on behalf of the Transferee Company.

13.3 All the profits or income accruing or arising to the Transferor Company, and all expenditure or losses, if any, arising or incurred or suffered (including all taxes, if any, paid or accruing in respect of any profits and income) by the Transferor Company shall, for all purposes, be treated and be deemed have been accrued as the profits or income or, expenditure or losses, as the case may be, (including taxes) of the Transferee Company.

13.4 The Transferor Company shall not utilise the profits or income, if any, for the purpose of declaring or paying any dividend or for any other purpose in respect of the period from and after the Appointed Date, without the prior written consent of the Transferee Company.

13.5 All taxes (including income tax, sales tax, excise duty, GST, customs duty, service tax, VAT, etc.) paid or payable by the Transferor Company, shall be on account of the Transferor Company and, insofar as it relates to the tax payment (including, without limitation, GST, sales tax, excise duty, customs duty, income tax,

FOR, H W TEXTILES PVT. LTD.
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

DIRECTOR

DIRECTOR

service tax, VAT, etc.), whether by way of deduction at source, advance tax, self-assessment tax or otherwise howsoever, by the Transferor Company in respect of the profits or activities or operation or undertaking of its business after the Appointed Date, the same shall be deemed to be the correspondingly paid or to be paid by the Transferee Company and shall, in all proceedings, be dealt with accordingly.

13.6 Any of the rights including intellectual property rights/Trade Marks/Copy Rights, powers, authorities, entitlements, accounts including Online Accounts and Login(s) and privileges attached or related or pertaining to and exercised by or available to the Transferor Company shall be deemed to have been exercised by the respective Transferor Company for and on behalf of and as an agent for the Transferee Company. Similarly, any of the obligations, duties and commitments attached, related or pertaining to the Transferor Company that have been undertaken or discharged by the respective Transferor Company shall be deemed to have been undertaken or discharged for and on behalf of and as an agent for the Transferee Company.

14 EMPLOYEES OF THE TRANSFEROR COMPANY

14.1 Upon the Scheme coming into effect, all the staff members, workmen and employees, if any, of the Transferor Company in service on such date shall be deemed to have become staff members, workmen and employees of the Transferee Company without any break in their services and on the terms and conditions of their employment not less favourable than those applicable to them as staff members, workmen and employees of the Transferor Company on the Effective Date.

14.2 It is expressly provided that, in so far as the Gratuity Fund, Provident Fund, Superannuation Fund or any other Special Scheme(s)/Fund(s) (hereinafter referred as "Fund or Funds") created or existing for the benefit of the staff, workmen and employees of Transferor Company is concerned, upon the Scheme coming into effect, the Transferee Company shall stand substituted for the Transferor Company for all purposes whatsoever, in relation to the administration, management or operation of such Fund or Funds or in relation to the obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

provided in the respective Fund or Funds, if any, to the end and intent that all rights, duties, powers and obligations of the Transferor Company in relation to such Fund or Funds shall become those of the Transferee Company and all the rights, duties and benefits of the staff, workmen and employees of the Transferor Company under such Fund or Funds shall be protected, subject to the provisions of law for the time being in force. It is clarified that the services of the staff, workmen and employees of the Transferor Company will be treated as having been continuous for the purpose of the said Fund or Funds.

14.3 In so far as the Fund or Funds created or existing for the benefit of the staff, workmen and employees, if any, of the Transferor Company are concerned, upon the coming into effect of this Scheme, balances lying in the accounts of the staff, workmen and employees of Transferor Company in the said Fund or Funds as on the Effective Date shall stand transferred from the respective Fund or Funds of Transferor Company to the corresponding Fund or Funds set up by the Transferee Company without any loss of interest.

15 CONSOLIDATION OF AUTHORISED CAPITAL AND AMENDMENT TO MEMORANDUM OF ASSOCIATION OF TRANSFEREE COMPANY

15.1 Upon sanction of this Scheme, the Authorized Share Capital of the Transferee Company shall be automatically stand increased to Rs. 55,00,000/- (Rupees Fifty Five Lakh Only) divided into 5,50,000 (Five Lac Fifty Thousand) Equity Shares of Rs. 10/- each (Rupees Ten Only) upon filing of necessary e-form with the Registrar of Companies, Gujarat and its approval thereof without any further act, instrument or deed on the part of the Transferee Company including payment of stamp duty and fees payable to Registrar of Companies. The Memorandum of Association and Articles of Association of the Transferee Company (relating to the Authorized Share Capital) shall, without any further act, instruments or deeds, be and stand altered, modified and amended, pursuant to Sections 13, 14, 61 of the Companies Act, 2013 and all other applicable provisions of the Act, as the case may be and for this purpose stamp duties and fees paid on the authorized capital of the Transferor Company shall be utilized and applied to the increased authorized share capital of the

FOR, MBM TEXTILES PVT. LTD. DIRECTOR

MBM TEXTILES PRIVATE LIMITED DIRECTOR

transferee company and no payment of any extra stamp duty and/or fee shall be payable by transferee company for increase in the authorised share capital to that extent of new Shares issued by the Transferee Company to the Shareholders of the Transferor Company.

15.2 Pursuant to the Scheme becoming effective and consequent upon the Amalgamation of the Transferor Company with the Transferee Company, the authorized share capital of Transferee Company shall stand as under:

Particulars	Amount (in Rs.)
Authorized Share Capital of Transferee Company	
5,50,000 Equity shares of Rs. 10 each	55,00,000
Total	**55,00,000**

15.3 It is further clarified that the approval of the members of the Transferee Company to the Scheme shall be deemed to be treated as their consent / approval also to the alteration of the Memorandum of Association of the Transferee Company as may be required under the Act, and existing Clause V of the Memorandum of Association of the Transferee Company shall stand altered and substituted to be read as follows:

15.4 "The Authorised Share Capital of the Company is Rs. 55,00,000/- (Rupees Fifty Five Lakh Only) divided into 5,50,000 (Five Lakh Fifty Thousand Only) Equity Shares of Rs. 10/- (Rupees Ten Only) each"

15.5 During the pendency of the Scheme and up to the Effective Date, in case the Authorized Share Capital of the Transferee Company is increased, then the provisions of clause 15.1 above shall be applied to the authorized share capital so increased and the quantum of shares and share capital stated in clause 15.2 and clause V of the Memorandum of Association above shall stand modified accordingly.

FOR, HFW TEXTILES PVT LTD
DIRECTOR

FOR, HFW TEXTILES PVT LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

DIRECTOR

PART IV – GENERAL TERMS AND CONDITIONS

16 SAVING OF CONCLUDED TRANSACTIONS

Subject to the terms of this Scheme, the transfer and vesting of the properties, assets, liabilities and Undertaking of the Transferor Company under Clauses 7, effectiveness of contracts or deeds under Clause 11 and the continuance of proceedings by or against the Transferor Company under Clause 12 of this Scheme shall not affect any transactions or proceedings already concluded by the Transferor Company on or before the Appointed Date or concluded after the Appointed Date till the Effective Date, to the extent and intent that the Transferee Company accepts and adopts all acts, deeds and things made, done and executed by the Transferor Company as acts, deeds and things made, done and executed by or on behalf of the Transferee Company.

17 VALIDITY OF EXISTING RESOLUTIONS, ETC.

Upon coming into effect of this Scheme, the resolutions of the Transferor Company as are considered necessary by the Board of Directors of the Transferee Company which are validly subsisting be considered as resolutions duly passed of the Transferee Company. If any such resolutions have any monetary limits approved under the provisions of the Act or of any other applicable statutory provisions, then the said limits, as are considered necessary by the Board of Directors of the Transferee Company and subject to statutory provisions, shall be added to the limits, if any, under the similar resolutions passed by the Transferee Company.

18 APPLICATION TO NATIONAL COMPANY LAW TRIBUNAL ("NCLT")

The Transferor Company and the Transferee Company shall, apply to the National Company Law Tribunal, Ahmedabad Bench for seeking the necessary orders and directions for the purpose of sanctioning this Scheme of Amalgamation under Section 230-232 of the Act.

FOR, HFW TEXTILES PVT.LTD

DIRECTOR

MBM TEXTILES PRIVATE LIMITED

DIRECTOR

19 DISSOLUTION OF TRANSFEROR COMPANY

An order of sanction of the Scheme by the National Company Law Tribunal, Ahmedabad Bench, is to be filed with the Registrar of Companies, Gujarat and the Transferor Company shall be dissolved accordingly without following the process of winding up as provided under Section 232 (3)(d) of the Act.

20 SCHEME CONDITIONAL ON APPROVALS / SANCTIONS

This Scheme is conditional on and subject to –

(a) The sanction by the Competent Authority being obtained by the Transferor Company and the Transferee Company;

(b) Filing of certified/ authenticated copies of the orders sanctioning the scheme passed by the Competent Authority with the jurisdictional Registrar of Companies, Gujarat;

(c) The Scheme being approved by respective majorities of members and all the class of creditors of the Transferor Company and the Transferee Company, as required under the Companies Act, 2013 and subject to any dispensation that may be granted by the NCLT;

(d) The Companies shall comply with all the applicable provisions of Section 230 to Section 232 of the Act read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(e) The Companies shall comply with all the applicable Laws and no statutory liabilities shall be absolved on sanction of the Scheme; and

FOR, HFW TEXTILES PVT.LTD
DIRECTOR

FOR, HFW TEXTILES PVT.LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

21 CHANGE IN THE STATUS OF TRANSFEROR COMPANY IN THE REGISTER OF THE REGISTRAR OF COMPANIES

On the Scheme coming into effect and registration of order of Competent Authority approving the scheme, the status of the Transferor Company shall be marked as 'amalgamated' in the register of the Registrar of Companies, Gujarat.

22 MODIFICATIONS / AMENDMENTS TO THE SCHEME

22.1. The Transferor Company and the Transferee Company through their Board of Directors may assent to any modification(s) or amendment(s) in this Scheme which may otherwise be considered necessary or desirable for settling aside any question or doubt or difficulty that may arise for implementing and/or carrying out the Scheme or which the Competent Authority may deem fit to direct or impose. Further, Transferor Company and the Transferee Company through their Board of Directors, be and are hereby authorized to take such steps and do all such acts, deeds and things as may be necessary, desirable or proper to give effect to this Scheme and to resolve any doubts, difficulties or questions whether by reason of any discretions or orders of the Competent Authority or otherwise whatsoever in nature howsoever arising out of, under or by virtue of this Scheme and/or any matters concerning or connected therewith.

22.2. Notwithstanding anything else to the contrary in this Scheme, the Transferor Company (acting through its respective Boards of Directors) shall be at liberty to withdraw the Transferor Company from this Scheme in case any condition or alteration imposed by the Competent Authority or any other Statutory Authority is not acceptable to it.

22.3. Notwithstanding anything else to the contrary in this Scheme, the Transferee Company (acting through its respective Boards of Directors) shall be at liberty to withdraw from this Scheme in case any condition or alteration imposed by the Competent Authority or any other Statutory Authority is not acceptable to it.

FOR, HFW TEXTILES PVT.LTD
DIRECTOR

FOR HFW TEXTILES PVT.LTD
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

MBM TEXTILES PRIVATE LIMITED
DIRECTOR

22.4. All of the modifications to the Scheme will be subject to the approval of the Competent Authority.

23 EFFECT OF NON-RECEIPT OF APPROVALS / SANCTIONS

In the event of any of the said sanctions and approvals not being obtained and/or this Scheme of Amalgamation not being sanctioned by the Competent Authority, this Scheme shall stand revoked, cancelled and be of no effect save and except in respect of any act or deed done prior thereto or as is contemplated hereunder or as to any rights and/or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out in accordance with the Law.

24 POST SCHEME CONDUCT OF OPERATIONS

Even after the Scheme becomes effective, the Transferee Company shall be entitled to operate all bank accounts of the Transferor Company and realise all money, use the registrations including online registrations/login(s), Trade Marks, Copy Rights or consents or approvals, complete and enforce all pending contracts including Rent Agreements & Royalty Agreements, business transactions and other day to day corporate affairs in respect of the Transferor Company in the name of the Transferor Company or in such other manner as may be required or in so far necessary until such time that the names of the Transferor Company are replaced with that of the Transferee Company in the respective bank accounts, registrations, consents or approvals, contracts, business transactions or any matter in relation to the day to day corporate affairs.

25 COSTS, CHARGES AND EXPENSES

All costs, charges, taxes including duties, levies, and all other expenses, if any (save as expressly otherwise agreed) of the Transferor Company and the Transferee Company arising out of or incurred in carrying out and implementing this Scheme and matters incidental thereto shall be borne and paid by the Transferee Company.

FOR, HFW TEXTILES PVT.LTD. DIRECTOR

FOR, HFW TEXTILES PVT.LTD. DIRECTOR

MBM TEXTILES PRIVATE LIMITED DIRECTOR

Annexure "B"

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
14 JUL 2023
INWARD No. 860

Mistry & Shah LLP
Chartered Accountants

CERT/23-24/152

TO WHOMSOEVER IT MAY CONCERN

We, M/s. Mistry & Shah LLP, Chartered Accountants in the capacity of the Statutory Auditors of both the Petitioner Companies in the matter of CP (CAA) 7 of 2023 in CA (CAA) 67 of 2022 hereby certified that we have verified necessary books of accounts, document and other relevant agreement Produced before us. Based on that we certify that:

1. In the matter of the scheme of amalgamation of M/s. HFW Textiles Private Limited (Transferor Company) with M/s. MBM Textiles Private Limited (Transferee Company), the Transferor Company is not holding any immovable property as on the Appointed Date i.e., April 1, 2022, neither any immovable property is acquired/ purchased by the said transferor company after the said appointed date.

2. Pursuant to this scheme, no immovable property of the Transferor Company is being transferred to the Transferee Company.

For, Mistry & Shah LLP
Chartered Accountants
FRN: W100683

MISTRY & SHAH LLP AHMEDABAD CHARTERED ACCOUNTANTS

Partner
Krunal Shah
MRN: 144596
UDIN: 23144596BGYDWZ5822

Date: June 28, 2023
Place: Ahmedabad

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

10 Bhavani Chambers, Nr. Times of India, Ashram Road, Navrangpura, Ahmedabad-380009.
Ph.: +91-79-400 60150, 400 50150
67, New Market Yard, Mansa, Dist. Gandhinagar – 382 845. Ph.: +91-2763-270205
URL : www.mistr-andshah.com Email : info@mistr-andshah.com